

PART TWO OF TWO

What was the field actually measuring?

ARREGLE

2021

220 studies

DANIELA

GHEMAWAT

2001

CAGE distance

DANIELA

CONTRACTOR

2003

the sigmoid

YASIR

MEZIAS

2002

the measure

YASIR

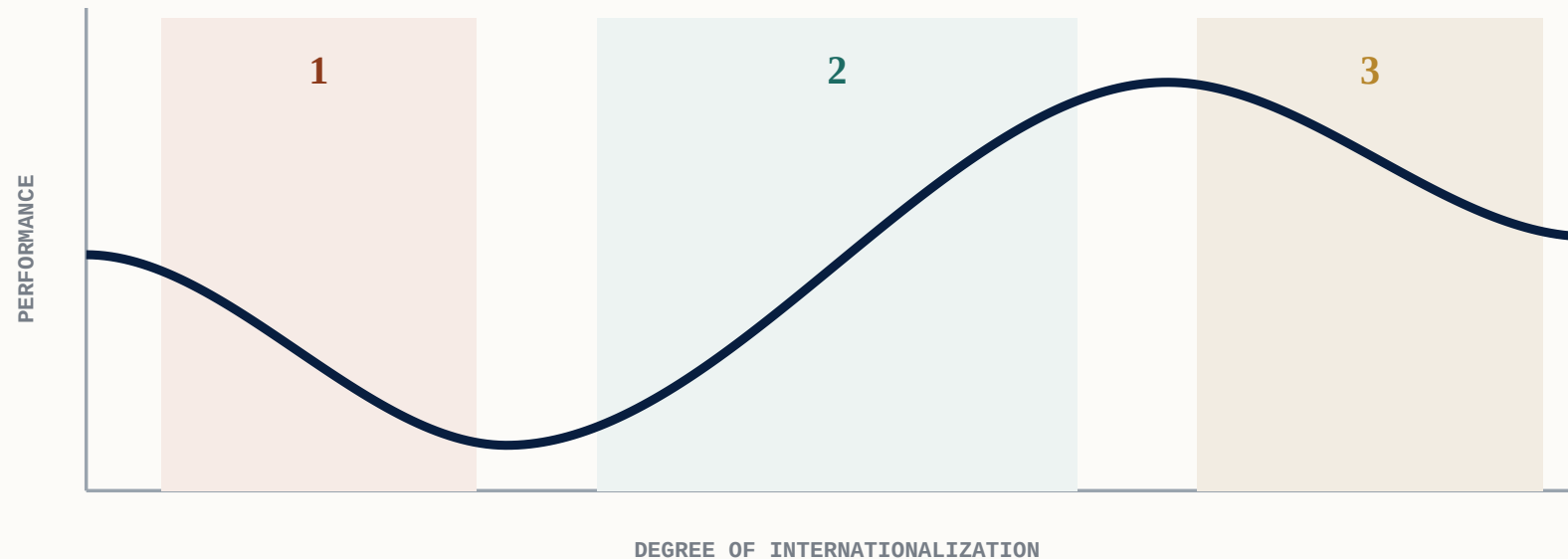
MY TWO

Daniela has shown where the field disagrees, and what distance is made of. I want the narrower question underneath both — when the field could not agree, what exactly was it measuring?

THEN THE CONCLUSION — WHAT ALL FOUR HAVE IN COMMON

CONTRACTOR, KUNDU & HSU (2003) · JIBS 34(1): 5-18 · AFTER FIGURE 1

Four findings. One curve.



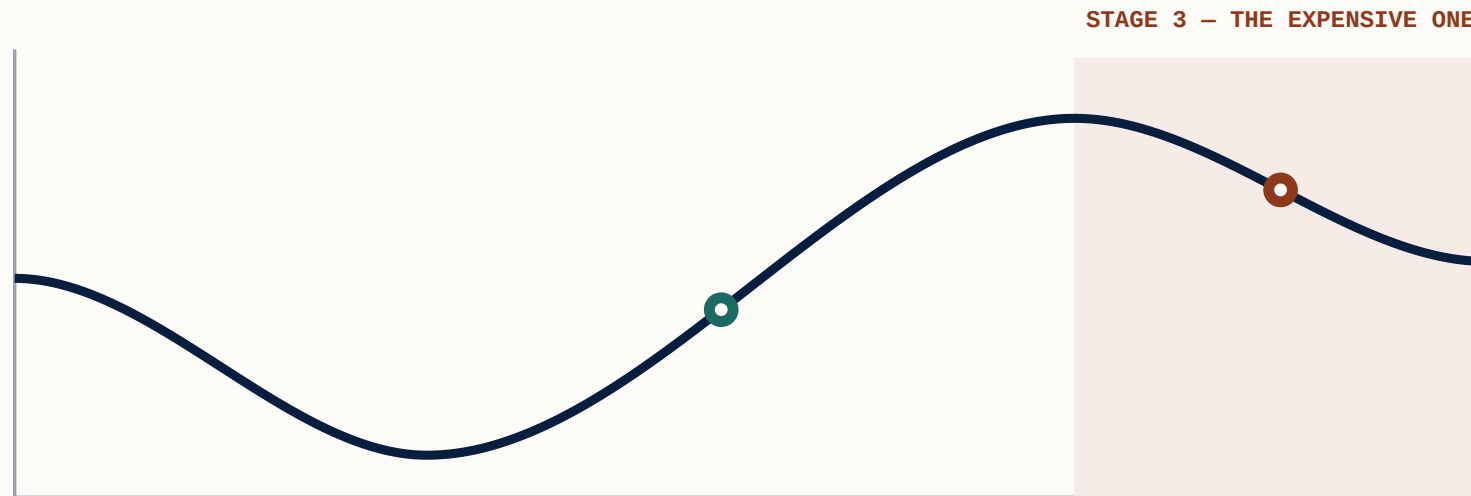
SAMPLE ONLY...

- **segment 1**
you publish a NEGATIVE linear result
- **segment 2**
you publish a POSITIVE linear result
- **segments 1+2**
you publish a U
- **segments 2+3**
you publish an INVERTED U

Thirty years of contradiction, and none of it was about firms. The literature was sampling different segments of one sigmoid and reporting each as a finding about the whole.

CONTRACTOR, KUNDU & HSU (2003) – THE FINDING THAT REACHES PRACTICE

Some firms walk into stage three more easily.



● KNOWLEDGE-BASED SERVICES

Advertising · market research · securities · publishing. Low fixed-asset exposure, so one more market is cheap to say yes to — and they drift into stage three.

● CAPITAL-INTENSIVE

Airlines · hotels · construction · retail. Fixed assets make every additional market an expensive commitment, so they stop sooner.

“Few companies possess the managerial tools that would tell them when they have over-internationalized.”

→ “SHOULD WE INTERNATIONALISE?” IS THE WRONG QUESTION. “WHERE ARE WE ON THE CURVE?” IS THE RIGHT ONE.

MEZIAS (2002) · SMJ 23(3): 229-244 · THE CRAFT LESSON

He did not fix the measure. He replaced it.



“While most performance measures aggregate advantages and disadvantages, labor lawsuits only measure labor-related disadvantage.”

486

foreign subsidiaries

486

matched US firms

\$600k+

average jury award

MATCHED ON INDUSTRY AND CITY – SO THE ONLY REMAINING DIFFERENCE IS FOREIGNNESS

CONCLUSION — ALL FOUR

What was measured, and what they thought they had measured.

	WHAT WAS MEASURED		BELIEVED TO BE
CONTRACTOR	segments of one curve	→	<i>the shape of the relationship</i>
MEZIAS	aggregate performance	→	<i>the cost of foreignness</i>
GHEMAWAT	market size	→	<i>opportunity</i>
ARREGLE	220 studies	→	<i>a settled question</i>

One diagnosis, four times: the field measured the wrong thing — or measured one thing while believing it had measured another.

Every one of them made progress by changing WHAT was measured, not by collecting more of the same thing. A literature that cannot converge because it cannot agree on a measure has a methods problem, not a theory problem.

TWO THINGS TO LEAVE YOU WITH

Eighteen years. Same question.

SUMIT K. KUNDU · FIU

2003

Contractor, Kundu & Hsu



JIBS 34(1)

2021

Arregle, ... Kundu, ...



JIBS 52

author on both

The same question about multinationality and performance, asked of a different population eighteen years later — and still unresolved.

3 SEP ENTRY MODE

If stage one is negative, mode choice is a decision about how much of that cost to absorb at once.

24 SEP INSTITUTIONS

CAGE is a pre-Hofstede way of saying what that session says with formal distance measures.